

Attracting Younger Investors **Lutheran Church Extension Fund**

The Lutheran Church Extension Fund (LCEF) is a financial organization nonprofit arm of the Lutheran Church—Missouri Synod (LCMS). LCEF was incorporated in 1978 and has grown to a \$2 billion organization. At LCEF, we focus on lending opportunities and real estate services to support LCMS congregations, schools, organizations, and ministries nationwide. We offer loans to finance property purchases, building construction, and repairing and renovating existing buildings. LCEF provides low-cost loans by selling securities to investors as part of the organization's deposit funds. LCEF investors earn an interest rate on their investments, which LCEF uses to support LCMS ministries' and churches' expansion and growth with low-interest-rate loans.

Despite the success in serving various age groups, LCEF faces a challenge in engaging young adults from 18 to 30 in investing with LCEF. The challenge lies in attracting younger investors, whose participation is important for the sustainability of funding and ministry support long into the future. There is a lack of awareness among younger adults about the existence of LCEF and its benefits. Even if they are aware, traditional engagement methods might not resonate with them. LCEF is committed to adapting marketing and product strategies to meet the needs of today's younger demographic.

Throughout the following years, we will implement strategies and tactics to introduce LCEF, educate them, help them understand the mission, and help them become investors who are not

rate chasers. A rate chaser is only in it for the interest rate but has no emotional tie to the greater mission.

Addressing this issue requires a creative approach, and I will leverage the seven key skills we learned in the Creative Decision class.

As an exercise, I implemented brute force. At random, I started with the word Whiteboard.

whiteboard → school → class → students → friends → play → sports → televised → electronics → devices → apps → phone → wireless → tower → sky → plane → travel → fun → interactive.

I came up with several possibilities but narrowed them down to two separate ideas for this paper using Interactive and Sports.

Interactive → Develop an engaging financial education platform called LCEF CONNECT. This platform could feature:

LCEF could offer a cutting-edge, user-friendly finance app accessible on smartphones and the LCEF website. It's designed to assist individuals in reaching specific financial goals, whether it's buying a car, saving for a vacation, planning for retirement, or creating an emergency fund. For instance, the emergency fund feature starts with a goal of accumulating an initial \$1,000 and then progresses to saving for 3-6 months of expenses, all while earning an interest rate in an account that the account holder can withdraw for emergencies.

Each accomplishment offers rewards and tokens for milestones achieved. For each friend referred who becomes an investor, the referrer receives \$100, and the new investor also gets a

welcome bonus. Additionally, users can participate in community challenges within their friend groups, tracking each other's progress, providing support, and sharing tips. The platform includes leaderboards and achievement badges. Through dynamic infographics and real-time project updates, users can see how their investments positively impact ministry work and communities, underscoring the value of their contributions. Interactive webinars and live Q&A sessions hosted by financial experts allow users to ask questions. These sessions are recorded and enhanced with quizzes and interactive components to maintain engagement and provide ongoing learning opportunities.

Sports → We expand sponsorships with a sports sponsorships called LCEF Athletic Partners.

We sponsor college and high school sports teams to plant seeds, introduce LCEF to students and attendees, and prominently display the LCEF logo on jerseys, gym banners, and sports equipment to increase visibility and brand recognition. At sponsored games, we set up interactive booths where attendees can participate in quick financial quizzes and games to win prizes, learn about LCEF, and engage with financial advisors, making these events educational and engaging.

In analogous thinking, I thought of Rock the Vote. This initiative used music and pop culture to encourage young people to vote. It aimed to increase engagement, interest, voter registration, and voting turnout.

Rock the Vote successfully motivated younger voters using cultural relevance and trends, digital engagement, and influencer partnerships. Similarly, LCEF seeks to attract young investors by educating them and fostering their interest in investing with the organization. We can learn several key strategies from Rock the Vote's success. For example, collaborating with popular Christian influencers and musicians can help communicate the benefits of investing with LCEF

in an engaging manner. LCEF could increase social media presence among younger demographics by creating shareable content that can raise awareness and interest. This includes incorporating influencers, asking them to post, and using memes, short videos, user-created content, and interactive posts to explain how investments can positively impact communities. Also, simplifying the investment process through easy-to-use digital platforms and financial education can reduce barriers to entry, making investing accessible, easy, and fun.

I looked to have a beginner's mind by taking nothing for granted and questioning everything I assumed about this demographic's financial behaviors and motivations.

For example, at LCEF, we have a great relationship with Concordia University, Irvine, as we sponsor programs and have made loans to them. Part of my team and I set up a Zoom with a diverse group of students that the university's faculty assisted in putting together. We understood that college students wouldn't have money to invest today, but it was to get a better understanding. The outcome of this anthropological approach revealed several key insights, some surprising, some not. For example, if properly communicated, many were keen on investments that could earn a strong return while positively impacting their communities, suggesting a strong potential for investing with LCEF. Some believed that to be worthwhile or make a difference, they would need "a lot" of money. We would need to alter this impression. They wanted cutting-edge mobile apps. Some, but not all, were familiar with the Robinhood app, so they used it as their basis. They also wanted to know how their funds benefit their church and community and to know their money is safe. A few mentioned that they didn't want their money to be "tied up" for the long term.

Outside of talking with this group, we also ran a digital survey amongst 250 participants in this age range from all over the country. Some were current LCEF investors, and some were not investors but were members of a Lutheran church. Some insight feedback was, "I have always thought of LCEF as an entity that cares for ministries and workers to a degree that a traditional corporate institution might not. I think of LCEF as primarily a lending institution more than an investing opportunity. I have heard others talk about LCEF as a "dated" entity with "dated" processes." Another feedback example was, "It would be nice to leverage the mobile app a little more to give some administrative control to the owners of these accounts. I think it would be beneficial to have a few added features in the app."

A reverse assumption involves flipping a commonly held belief or assumption to explore the opposite perspective.

- Assumption 1: Young people are not interested in faith-based investing.
 - Reversal 1: Young people are highly interested in faith-based investing.
 - Making it a Reality:
 - Highlight stories and testimonials of young people who are already investors and their positive impact.
 - Create social media campaigns and videos geared to the younger demographic placed on TikTok, Instagram, Twitter, and Facebook, expanding awareness and showcasing the community impact along with testimonials.
 - Partner with influencers to advocate. We could explore incentivizing them to create content.

- Assumption 2: Young people think investing is complicated and requires strong financial knowledge.
 - Reversal 2: Investing is simple and requires minimal financial knowledge.
 - Making it a Reality:
 - Develop a more robust and engaging LCEF app.
 - Provide financial education modules that reward users for completing learning milestones.
 - Provide a series of short video tutorials explaining the basics of investing.

- Assumption 3: Traditional investment methods are the most effective.
 - Reversal 3: Non-traditional, innovative investment methods are the most effective.
 - Making it a Reality:
 - Introduce micro-investing opportunities, allowing people to start with small amounts since they have fewer dollars available.
 - Share measurements of social good being done.

- Assumption 4: Young people prefer to spend their money rather than save or invest it.
 - Reversal 4: Young people prefer to invest their money rather than spend it.
 - Making it a Reality:

- The importance of building a financial future that aligns with their values.
- Incentives for investing, such as matching contributions or rewards programs.
- Social investment challenges that will encourage young people to invest collectively for a cause.
- Importance of having an emergency fund for a rainy day.

In mid-May, I contacted Brad Countryman, an undergrad friend, to activate a dormant tie. We were close friends but lost connection just before the pandemic, as we were caught up in our own lives and lost touch throughout the years. We used to make short films with other friends and entered them into film festivals as a hobby. We reminisced about all those experiences and caught up about family and work. After catching up, I informed him I was working on this project to attract a younger demographic to LCEF. He attends a Lutheran congregation and is somewhat familiar with LCEF. He shared an idea since we had been reminiscing about filmmaking from college. He shared that we should make a short film about the personal journeys of young people who have invested in LCEF and its impact, almost like an engaging documentary style.

Brad suggested we follow the stories of a few young investors who share their motivations, challenges, and the impact their investments have made on their communities. The film would focus on real-life testimonials and these individuals' authentic emotions and experiences. By capturing their stories in a documentary style, we could highlight the meaningful connections between their investments and the positive changes in the lives of people around them.

We brainstormed and discussed how we at LCEF could identify potential candidates whose stories are engaging and relatable to this demographic.

A short film would require more thinking, but it could be an interesting tactic. This exercise was helpful and motivated me to contact a friend I haven't spoken to in years. I planned to get around to contacting him at some point, but this encouraged me to fast-track it and make it a priority.

I have many areas to develop further and digest the information. However, as part of our rapid prototyping, I would like to spend time enhancing the LCEF app and website using the interactive platform LCEF CONNECT as the starting point; our web developer in the marketing department is creating a mock-up of the site map. This mock-up is essential for further testing and exploration of the platform's usability and design. During our latest brainstorming session, I worked closely with the team members to outline the key sections and user flows. This mockup will also integrate interactive webinars and live Q&A sessions where users can easily access educational resources and support. I am currently working with the team, and we will also need to outsource specific components. However, by presenting this initial site map to a small group of younger investors, we aim to gather valuable feedback on the layout and functionality, allowing us to improve areas as needed and refine the platform before finalizing it.

For a hybrid brainstorming approach, I established an internal team, the Product Development and Retention Committee, to drive the growth of our funds and enhance our engagement with younger investors. This committee incorporates a hybrid approach to brainstorming that leverages the strengths and uniqueness of individuals in this diverse team. It includes thirteen representatives from various age groups and departments across the organization, such as

marketing, investment processing, customer relations, IT, product development, sales, and operations, ensuring a wide range of perspectives and expertise are involved.

To structure our process, I implemented specific guidelines to create strong collaboration. I sent this email to those participating before our first meeting. We will begin each brainstorming session by reviewing the latest research and insights, mainly focusing on the preferences and behaviors of this demographic. During meetings, we will brainstorm and do some mind mapping to encourage contributions from all team members; I will strongly advocate participation from everyone. I plan to set clear objectives for each session and key takeaways, to-dos, ownerships, and next steps.

A key part is developing a new investment product tailored for younger people. Based on the research, we recognize the need for a product that requires fewer dollars to start investing, making it accessible to those with limited initial capital. This new product could offer features like micro-investing opportunities, allowing users to invest small amounts regularly.

Additionally, it could include educational tools to help young investors build financial literacy and a gamified experience to make investing engaging and fun.

Creating a diverse Product Development and Retention Committee will be essential in driving innovation and growth, ensuring LCEF remains competitive and attractive to younger investors.

I have already begun setting expectations, speaking with department heads, and engaging committee members. Due to conflicting schedules, it took some time to assemble this committee, find the proper representation, and find a 2-hour opening for our first meeting. Still, I found time

later this month, and our first official meeting is scheduled for Tuesday, June 11. All recurring future meetings have also been scheduled for the rest of this year, meeting twice a month.

I still have much to do, and after additional internal conversations, I plan to present my latest updates, research, and next steps to the board on July 26 during my quarterly update. I will utilize the SUCCES formula to make my ideas compelling and memorable. I will make it simple and showcase research and unexpected insights from our anthropological research along with other data insights. I will present it in a story fashion that emphasizes how young people are interested in faith-based investing when properly communicated. Concrete examples, such as the positive community impact of investments and testimonials from young investors, will lend credibility to our approach. Emotionally, I will connect with the board by sharing real-life stories of young investors whose lives and communities have been positively impacted by their involvement with LCEF. As a side note, I am working with an outside local St. Louis agency to rebrand LCEF and conduct additional research on exploring changing the organization's name from Lutheran Church Extension Fund to something that better explains what we do. The LCEF board of directors knows I am working on this initiative for a rebrand and potential name change, but it ties nicely with reaching that wider audience I shared in this paper.